

PITCH — ARES — VERDICT

ADJUDICATED 2026-09-16 — STARTER (half-size) GATED on the 9/18 ASIF tender (conviction 7/10).

What we believe

Ares is a fee-collecting asset manager. It gets paid a management fee on \$409.9bn of fee-paying assets (FPAUM), and the stock is down about 27% from its 52-week high while those fees grew ~17% year over year. The original brief called that gap “damage-absent” — nothing is actually broken, the price just fell.

After both benches, we believe something narrower and less exciting:

1. **The fee stream is not “contractually immune” to the credit cycle.** That phrasing was killed and it deserved to be. The fee base grew last quarter partly because Ares put already-committed money to work and added fund leverage — and deployment is the first thing that freezes when credit tightens.
2. **But it is cushioned, not fragile.** There is roughly \$93bn of already-closed capital not yet paying fees, which the company says carries about \$828M of annual management fees when deployed. Against ~\$4.0bn of annualized base fees (Q2-26 base fees of ~\$1.0bn × 4), that is a ~21% contracted backlog. A slow market *defers* that revenue; it does not delete it.
3. **The loudest bear leg — wealth-channel redemptions — is real but small.** ASIF, the non-traded credit fund, has had two consecutive oversubscribed redemption windows with demand rising from 11.6% to 14.4% of shares against a 5% cap. But ASIF is 2.6% of Ares’ fee base, and a full-cap quarter is 0.13% of it. Its net asset value was flat (~\$10.7bn) across a \$523.5M payout — new money replaced the money leaving.
4. **The payout is thin, not broken.** First-half realized income of \$2.53/share against \$2.70 declared is 0.94x coverage. Ares’ realized income is fourth-quarter weighted (Q4-25 was \$1.45), so a full year lands near 0.98x. Thin. Not a dividend cut signal. It is a reason to size small.
5. **Therefore: this is a timing and price trade, not an insight trade.** At 22.3x consensus FY26 earnings and 40.9% *above* its 52-week low, we are not being paid for the ambiguity. We want it 6–12% lower, after the flow datum prints.

What the market believes

The street believes exactly what the brief believed, and has for months. FY26 earnings consensus is \$5.94–\$5.99, up ~25%; 20 analysts cover it; the average target is \$193.69 as of Sep 4 — about **45% above spot** — with the stated reason being resilient fundamentals. After the last print, targets

went **up** (TD Cowen 155→163, RBC 162→168, Deutsche Bank 140→144). There are effectively no sell ratings.

Two readings of that, and we hold both: - *Benign*: the street is right, the stock is de-rating with the group, and patience gets paid. - *Hostile*: a 45% target gap with zero sells is a crowded long whose targets are stale rather than considered. Nobody has cut, so nobody has repriced.

We cannot distinguish these without the short-interest and positioning data we do not have (see unverified #5).

Why we might have edge

Honest and small. Four candidates:

1. **Timing, not view.** The wealth-channel flow prints in a *fund* filing (ASIF's tender amendment, ~Sept 25) one to two quarters before it shows up in the *company's* redemption line. That is a genuine lead, and the red bench found it. It gave us a real date; it just had the date wrong.
2. **A number both benches got wrong in our favor.** Strip the harvest distributions out of the "erosion" bucket — money returned to investors because deals *worked* — and last quarter's erosion was \$6,471M against \$8,106M of new commitments. **New money alone exceeded non-harvest outflows**, before a dollar of deployment. Neither bench computed this. It is the cleanest single rebuttal to "the fee base is cycle-erodible," and it is stronger than the backlog argument.
3. **A fee-rate scare we can fade.** The "fees growing slower than assets" claim compares a period revenue number to an end-of-period balance. When the balance is rising, that gap appears automatically. If the street runs that scare on Q3, it is likely an artifact, and we would be prepared to buy it.
4. **Nobody models ASIF's balance sheet.** \$21.3bn of assets against \$10.9bn of debt on \$10.7bn of net assets, with a revolver upsized to \$4.1bn to meet redemptions. That is the actual transmission channel, and it sits in a separate filer (CIK 1918712) most Ares models never open.

Why it might be priced in

Bluntly: most of it is.

- The "resilient fundamentals" story **is** consensus. We have no competing number. We cannot say what the street has wrong about FY26 — only that we would pay less for the same number.
- The dislocation is largely healed: **+40.9% off the low**, not a fresh crash. Buying "it's down 25%" is buying a stale chart. (The original brief's -25% was wrong in any case; see the checks table.)
- 22.3x forward earnings for a compounder is unremarkable, not cheap. There is no valuation support under us until roughly 19–20x.

- The ASIF redemption facts are on public file and have been reported. The oversubscription is not a secret.
- **Our own scenario table says so.** Probability-weighted fair value is **\$128.70 vs a \$133.20 tape — minus 3.4%**. Our own arithmetic refuses an immediate entry, and we are taking that at face value.

What could go wrong

Failure narrative 1 — “Nothing breaks; it just stops working.” (highest probability, ~40%) We buy at \$125–131. Credit stays fine, Ares delivers \$5.95, and the stock trades between 20x and 23x for a year while targets quietly drift from \$193 to \$160. We earn the 4.3% dividend and dead money. *Tripwire: monitorable* — FY27 fee-related-earnings revisions and target-price drift; exit rule is a de-rate through 19x (\$113) without a fundamental cause.

Failure narrative 2 — “The freeze is in deployment, and we mis-sized the cushion.” (~25%) Credit contracts. Deployment drops from \$14.3bn to \$6–8bn a quarter. The \$93bn backlog is still there, still contracted — but it activates two years later than modeled, so FPAUM flatlines while distributions keep running. Fee-related earnings growth goes from +20% to +4%, and a 22x multiple on a 4% grower is 15x. That is \$90. *Tripwire: monitorable* — the deployment line in the Q3 and Q4 Ex-99.2 rollforwards; the hard stop is commitments + deployment < erosion for two consecutive quarters.

Failure narrative 3 — “The marks were the product.” (~15%, and NO monitorable tripwire) Private credit assets are valued quarterly, by model, with no public tape. ASIF’s \$21.3bn portfolio, Ares’ fund-level marks, and every NAV that redemptions are paid against are Level 3 estimates. A regime shift in how those are struck — a valuation agent changes method, an auditor tightens, a regulator writes a letter, or a peer takes a large writedown that becomes the comparable — moves NAV, which moves redemptions, which moves the fee base. **We cannot watch this between prints.** There is no series, no filing cadence, no third-party quote. The one hint we have is already bearish and already public: a third party mini-tendered ASIF Class I at a **15% discount to net asset value** in July, and the board rejected it.

Unknown-unknown class, named: *unobservable-mark regime shift* — with an adjacent sub-class, *counterparty-of-a-counterparty*. ASIF’s \$10.9bn debt stack and \$4.1bn revolver depend on lenders who owe us no disclosure. If one of them pulls the ladder, our first notice is an 8-K after the fact. No sensor can be built for either class from public data on a schedule shorter than a quarter. We accept this as unhedged and we size for it.

The reflexive and structural leg. - *Our own size is not the risk.* Estimated average daily volume is 2.0–3.2M shares (\$270–430M). Our maximum position, 2.25% of book, is well under 1% of a single day’s volume at any plausible book size. We are not the flow and cannot move this tape. Nobody should claim otherwise in a risk meeting. - *The flow that matters is other people’s.* A crowded long with no sell ratings and a 45% target gap unwinds through downgrades, not through fundamentals. Add scheduled supply: the 6.75% Series B mandatory convertible is contracted Class A dilution arriving on a calendar, not a rumor. - *The genuinely reflexive loop:* ASIF meets redemptions partly with borrowed money against private credit assets. If redemption demand

keeps climbing past the cap, the fund eventually sells assets. Selling private credit assets in a soft market sets the comparables that mark the *rest* of the book — including other Ares funds. That loop is invisible until it isn't. - *Doctrine interactions, stated plainly*. Our consensus-kill rule rejects this thesis **as written**; our divergence-not-coverage rule says “the street owns it” is a sizing input, not a rejection. The two together produce the most dangerous outcome available to us: **a live position whose stated reason has been killed**. People hold those through invalidation because nobody can articulate what would end them — that is why the hard stops in the entry section are written as filings, not feelings. Separately, our own discipline that Up-C share exchanges are not real dilution could cause us to wave off the mandatory convertible, which **is** real dilution. It is not the same thing.

If this position loses money, the most likely reason will be that we paid 22x for the consensus number, the consensus number came in fine, and the multiple went to 19x anyway while private-credit marks we could never observe slowly reset the whole sector's growth rate.

What we checked ourselves

Claim	How checked	Found
Pack tape and drawdown	Recomputed from pack: 133.195 / 183.071 / 94.5397	dd52 = -27.2% , off-low = +40.9% . Pack is internally consistent.
Red bench's tape (132.78 / -27.5% / +40.4% “verified”)	Recomputed	Arithmetic self-consistent but for a different price stamp — not the shipped pack
Blue bench's tape (131.43 / -28.2% / +39.0%)	Recomputed	Same failure, larger. Blue accused red of exactly its own error
Original brief's “-25% drawdown”	Compared to pack	Wrong, and wrong in the opposite direction from red's claim
Red: Q2 erosion legs total \$13,616M	2,306 + 7,175 + 1,930 + 2,235	= \$13,646M . \$30M slip
Red: “FPAUM would be – \$4.0bn ex-deployment”	10.3bn reported QoQ – 14.336bn deployment	Reconciles only against the reported total, which exceeds the quoted legs by ~\$1.5b of lines nobody pulled
Our addition: commitments vs non-harvest erosion	8,106 vs (2,306 + 1,930 + 2,235 = 6,471)	New money alone exceeds non-harvest outflows by \$1,635M . Neither bench computed this
Blue: backlog “\$828M ≈ 41%”	828 / (1.0bn × 4)	= 20.7% , not 41%. Blue double-counted the run-rate

Claim	How checked	Found
of base-fee run-rate”		
Red: erosion bucket proves cycle-levered fee base	Decomposed the bucket	53% of it is harvest distributions — returns of capital from deals that worked. Cannot hold deployment at zero and distributions at \$7.2bn
ASIF implied redemption demand	5% ÷ proration: 5/0.431 and 5/0.347	11.6% → 14.4% . Acceleration real and sustained
ASIF materiality to the fee base	10.7 / 409.9; (0.05 × 10.7) / 409.9	2.6% of FPAUM; a full-cap quarter is 0.13% . Leading indicator, not a fee-base even
Red: ASIF tender “due late Sept”	Blue pulled the actual offer	Offer to Purchase dated Aug 20, expiring Sept 18 — already on file. Red set a gate never looked up (sec.gov/Archives/edgar/data/0001918712/000110465926099224/tm2623503d1_ex9a1v.htm)
Red: “prints land on Fridays, Nov 2 is a Monday”	Blue pulled Q3-25	Ares printed Monday, Nov 3, 2025 . Pattern argument refuted
Dividend coverage	2.53 / 2.70	0.937x in H1 — red’s 0.94x stands
...and the inference from it	Added Q4 seasonality (Q4-25 = \$1.45): 1.24+1.29+~1.30+1.45	FY ≈ \$5.28 vs \$5.40 → ~0.98x . Thin, normal shape, not deterioration
Fee-rate “compression” (+14.4% fees vs +17.3% FPAUM)	Stock-vs-flow test	Fees accrue on <i>average</i> balance; FPAUM is a snapshot. On a rising balance the gap appears automatically. Unproven, not refuted — no average series exists yet
GCP International base effect	Both benches	Closed Mar 1, 2025, +\$45.3bn — already in the Q2-25 base. YoY is organic
Valuation	133.195 / 5.965	22.3x mid-consensus FY26
Dividend yield	5.40 / 133.195	4.05%
Both benches: “prize table NOT APPLICABLE”	Re-read the mandate	The <i>project-NPV</i> form is indeed N/A. But the ASIF tender is a genuinely time-gated private datum, which requires a scenario × probability table. Both benches skipped a required artifact
Detector dispatch lists	Compared the two benches	Different lists on an identical pack (red got hiring_velocity/customer_id; blue got TRA/common-control/JOBS Act). Pack non-determinism

PROPOSED ENTRY BANDS

No entry today. Spot \$133.20; our own table values it at \$128.70 (–3.4%). Buying into the tender result is paying full price for a datum that prints in a week.

Gate 0 — the flow datum. ASIF tender expires 2026-09-18; results ~2026-09-25. - *Green (buy the band)*: implied demand **≤14%** (proration ≥35.7%) **and** ASIF NAV flat at ≥\$10.4bn. - *Amber (half the starter, or wait for the lower band)*: demand 15–18% with NAV flat — replacement inflows still working. - *Red (stand down, no entry at any price until the Q3 print)*: demand **>18%** (proration <27.8%) **and** NAV breaks below ~\$10bn. Both conditions, not either.

If Green or Amber:

Tranche	Band	Basis	Size
Starter	\$124–131	21–22x mid-consensus FY26 EPS \$5.965 (\$125.3–\$131.2); 4.1–4.3% yield	0.75% of book
Add-1	\$112–118	19–19.8x; 4.6–4.8% yield. Requires Q3 Ex-99.2 showing commitments + deployment > erosion	+0.75% → 1.50%
Add-2	\$100–106	~17x; within 12% of the 52-wk low. Requires average-FPAUM series showing no real fee-rate compression	+0.75% → 2.25% max
Trim	\$165–172	28x — at that price we are paying for the \$193.69 target rather than fading it	Cut to 1.0%
Hard exit, any price	—	Q3 base fees decelerate on a true average-FPAUM basis, or commitments + deployment < erosion	Flat
Structural void	Break of \$94.54	52-wk low gone = the thesis was about a healed dislocation that wasn't	Flat, rewrite

If Red (stand down) — reopen bands: no re-entry above **\$108** (5.0% yield) and none at all until the Q3 rollforward prints. A confirmed redemption queue changes the asset, not just the price.

Catalyst dates: 2026-09-16 ex-dividend \$1.35 · **2026-09-18 ASIF tender expiry (the decisive one)** · ~2026-09-25 tender results · ~2026-10-01 Q3 scheduling PR expected (30-day lead precedent) · **2026-11-02 Q3 print** (pack-derived, unconfirmed; Monday is preceded — Q3-25 was Mon Nov 3) · ~2026-11-30 next ASIF tender.

Print proximity: ~36 trading days out. No print-decisive work required. The decisive document is 5 sessions away and it is not the company's.

ARMED SENSORS

(armed provisionally with this deck; session adjudication ratifies)

- price alert: fires below 94.54 (deck-provisional: 52-week low from the pack; a break voids all bands and re-opens the thesis from scratch.)

- filing watch: SC TO-I/A until 2027-03-10 (deck-provisional: ASIF final tender amendment (offer expires 2026-09-18) prints the proration %, which is the only pre-p)
- dated pack ARESI2026-09-16: ARES: Ex-dividend, \$1.35 Class A declared. (date confirmed=True)
- dated pack ARESI2026-09-18: ARES: ASIF tender offer expires (Offer to Purchase dated 2026-08-20). (date confirmed=True)
- dated pack ARESI2026-09-25: ARES: Estimated ASIF final results/proration notice, ~1 week after expiry. (date confirmed=False)
- dated pack ARESI2026-10-01: ARES: Estimated ARES Q3 scheduling press release (~30-day lead precedent). (date confirmed=False)
- dated pack ARESI2026-11-02: ARES: Q3-26 print (pack, yfinance-derived; Monday is preceded - Q3-25 printed Mon Nov 3). (date confirmed=False)
- dated pack ARESI2026-11-20: ARES: Nearest listed monthly expiry used for all option math; loss branch lands in tax year 2026. (date confirmed=False)
- dated pack ARESI2026-11-30: ARES: Estimated ASIF November valuation-date tender (Feb/May/Aug/Nov cadence). (date confirmed=False)

What remains unverified

1. **ASIF Aug-20 tender outcome** — proration % and implied demand. Time-gated to 2026-09-18/~09-25. *Estimate: 15–19% implied demand, point 16.5%; basis: 11.6% → 14.4% trend (+2.8pp) damped 50% for the concentrated family-office cohort the sponsor named; p=0.6 it lands in range.*
2. **ASIF net asset value at the Aug-31 valuation date** — the replacement-inflow test. Private until filed. *Estimate: \$10.2–11.0bn, point \$10.6bn (flat); basis: ~\$10.7bn at both Feb-28 and Apr-30 through a \$523.5M payout; p=0.65.*
3. **Average-FPAUM series (8 quarters)**. Draggable now from prior Ex-99.2 endpoints. The compression claim is neither proven nor refuted until this exists.
4. **LP/investor concentration** — largest investors as % of FPAUM. Draggable now (ADV Part 1 Item 5 / 10-K). Directly relevant to redemption risk; flagged by red as a coverage gap and never closed.
5. **Short interest and crowding**. Draggable now. Conditions size only — but we have not conditioned it.
6. **Tax Receivable Agreement liability and the 85%-of-savings share**. Draggable now from the 10-Q tax note. Real cash leakage against a 0.94x-covered payout; the pack's "primary doc excerpt" is XBRL context junk with no values, so nobody has read it.
7. **Series B mandatory convertible: conversion date and share count**. Draggable now. *Estimate meanwhile: 2–4% Class A dilution; basis: comp-sizing a \$1.0–1.5bn mandatory convert against a \$42.7bn cap; p=0.5.* Every per-share number above should eventually be post-conversion.
8. **Q3-26 FPAUM rollforward**. Time-gated to the print. *Estimate: commitments \$7.0–9.5bn, deployment \$11–15bn, erosion \$12.5–15.0bn; basis: Q2 actuals with a 10% deployment*

haircut; $p=0.6$ that commitments + deployment > erosion.

9. **Confirmed Q3 print date.** Awaiting the scheduling PR. *Estimate: 2026-10-30 to 2026-11-03, point Mon 2026-11-02; $p=0.6$.*

10. **Options chain — chain-level midpoint IV and real quotes at Nov-20 \$120P / \$135C.**

Drainable now. This blocks the instrument decision below. *Estimate: chain mid IV 30–40%; basis: Parkinson range proxy off the 52-wk high/low; $p=0.5$.*

11. **Average daily volume.** Drainable now. *Estimate: 2.0–3.2M shares (\$270–430M/day); basis: 0.8%-of-cap/day base rate for a \$42.7bn S&P 500 financial; $p=0.7$.*

PRIZE TABLE + VOL READ

Both benches wrote “prize table NOT APPLICABLE.” They were right about the *project-NPV* form — Ares earns fees on real assets today, there is no funded-prize counterfactual. They were wrong to stop there: items 1, 2 and 8 above are genuinely time-gated and private, which is exactly the trigger. Table anchored on spot \$133.20 and adjusted, horizon = the 2026-11-20 expiry.

#	Scenario	p	Price	Anchor logic
1	Tender demand $\leq 14\%$, NAV flat, Q3 commitments-led	0.25	\$145	24x \$5.965
2	Demand 15–18%, NAV flat, Q3 in line, fee-rate unresolved	0.40	\$134	22.4x — spot, drifting
3	Demand >18% or NAV soft; sell-side trims FY27 fee earnings	0.25	\$117	19.6x
4	Credit repricing / ASIF liquidity ladder stress / mark reset	0.10	\$96	16x, retest of the 52-wk low

EV = \$128.70 (–3.4% vs spot). Against the \$125 starter mid, EV is **+3.0%**; against the \$117 add-1, **+10.0%**. The bands are the trade; spot is not. **$\sigma_{\text{table}} = \$14.79 = 11.1\%$ of spot**, which over 70 days annualizes to **25.4%**.

Expression math (candidate strikes priced off the table itself):

Instrument	$C_{\text{ours}} / P_{\text{ours}} = \sum p \cdot \max(S-K, 0)$	IV that would make the chain agree
Nov-20 \$135 call	$0.25 \times \$10 = \mathbf{\$2.50}$	14.3%
Nov-20 \$130 call	\$5.35	15.6%
Nov-20 \$145 call	\$0.00	— worthless on our own table
Nov-20 \$120 put	$0.25 \times \$3 + 0.10 \times \$24 = \mathbf{\$3.15}$	36.8%

The arithmetic dictates the instrument, so here it is. Our table would only buy the \$135 call if chain-level midpoint IV were **below ~14%** — which it will not be; a range-based realized-vol proxy off the 52-week high/low (Parkinson) is **35–41%**. So **calls are refused by our own numbers**. The put side is the opposite: our table prices the \$120 put at \$3.15, equivalent to ~37% IV, which is *right on top of* the likely chain. So:

- If the \$120P chain midpoint prints **above \$3.15** (chain IV > ~37%, positive variance premium vs our 25.4% table dispersion): **sell the Nov-20 \$120 cash-secured put** as the gated add. It pays us to wait and, if assigned, puts us inside the add-1 band.
- If it prints **below \$3.15: no options edge — stock only, in the bands.**
- **Calls: no, at any chain price above ~\$1.** Our own table gives the upside strike zero value.

Caveat we will not bury: σ_{table} (25.4%) is *narrower* than the realized-vol proxy (35–41%).

Either the vol market is rich, or our scenario tails are too tight. Given that failure narrative 3 has no tripwire, the honest reading is that **our tails are too tight**, which argues against selling puts in size. Cap any put sale at the add-1 notional. **No chain was in the pack and we will not invent quotes** — the TSSI lesson (aggregate feed said 71, chain said 101) means the underlying IV feed is not an acceptable substitute. Item 10 above must be drained before anything is sold.

Bimodality: the table is fork-dated twice — Sept 18 (tender) and ~Nov 2 (print). A single Nov-20 expiry spans both forks, so realized outcomes cluster at the ends rather than the middle. Any premium sold is short two gaps, not one.

Tax overlay: the **2026-11-20 expiry sits inside tax year 2026**, so the loss branch lands in the intended year — compliant during a harvest year. **January-2027 and later expiries are excluded:** they defer the loss into next year, and nothing here dominates numerically enough to justify that. If the desk wants exposure past the print, use stock, not dated paper.

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{"item": "Tax Receivable Agreement liability and the 85%-of-savings share (Up-C cash leakage).", "instrument": "10-Q income tax/TRA note, accession 0001628280-26-054538", "drainable_now": true, "estimate": null},
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{"item": "Q3-26 FPAUM rollforward: commitments + deployment vs total erosion.", "instrument": "8-K Ex-99.2 at the Q3 print", "drainable_now": false, "estimate": {"range": "commitments $7.0-9.5bn; deployment $11-15bn; erosion $12.5-15.0bn", "basis": "Q2-26 actuals ($8,106M / $14,336M / $13,646M) carried flat with a 10% deployment haircut", "p": 0.6}},
{"item": "Confirmed Q3 print date.", "instrument": "Ares IR scheduling PR (~30-day lead); ir.ares.com + 8-K", "drainable_now": false, "estimate": {"range": "2026-10-30 to 2026-11-03 (point Mon 2026-11-02)", "basis": "pack yfinance date plus Q3-25 Monday precedent; Q2-26 printed Fri Jul 31", "p": 0.6}},

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{"item": "Options chain: chain-level midpoint IV and real quotes for Nov-20 120P and 135C.", "instrument": "IBKR options chain pull (chain midpoints, never the aggregate underlying IV feed)", "drainable_now": true, "estimate": {"range": "chain mid IV 30-40%", "basis": "Parkinson range proxy off the 52-wk high/low implies ~35-41% realized; large-cap alt-manager base rate", "p": 0.5}}, {"item": "ADV and liquidity for sizing (our size vs the tape).", "instrument": "IBKR 20-day average volume", "drainable_now": true, "estimate": {"range": "2.0-3.2M shares/day ($270-430M notional)", "basis": "0.8%-of-market-cap/day base rate for a $42.7bn S&P 500 financial", "p": 0.7}}}]}
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Primary sources relied on above (SEC EDGAR): ASIF May-31 tender result exhibit —

https://www.sec.gov/Archives/edgar/data/0001918712/000110465926077545/tm2615016d4_exh-a1iv.htm · ASIF Offer to Purchase dated 2026-08-20, expiring 2026-09-18 —

https://www.sec.gov/Archives/edgar/data/0001918712/000110465926099224/tm2623503d1_ex99-a1v.htm · ARES Q2-26 earnings exhibits (FPAUM rollforward and realized income per share) —

<https://www.sec.gov/Archives/edgar/data/0001176948/000162828026051191/a2026q2-ex992earningspre.htm> and [.../a2026q2-ex991.htm](https://www.sec.gov/Archives/edgar/data/0001176948/000162828026051191/a2026q2-ex991.htm) · ARES Q3-25 release confirming a Monday print — <https://www.sec.gov/Archives/edgar/data/1176948/000162828025047895/a2025q3-ex991.htm>

No SCIENCE BRIEF was supplied in the inputs and ARES is not a deep-tech name, so the SCIENCE BRIEF DIGEST section is omitted by rule.

ADJUDICATION — 2026-09-16 15:38Z

Fee-stream damage-absence survives on the cohort channel: the insulation is backlog activation (\$93bn deployable, \$828M contracted annual fees), not “contractual immunity”. Red’s deployment-dependency mechanism (NOVEL) is kept as a pace risk; its ASIF, dividend-coverage and fee-rate kills were materiality/seasonality/base-effect artifacts. Ares carries the private-credit cohort seat with KKR; BX/CG/OWL/BAM are gated behind it.

REOPEN GATES: 9/18 ASIF tender result: demand $\leq 14\%$ with NAV flat → stage half-size starter ($\sim 0.5\%$ NAV) at limit $\leq$ tape; demand $> 18\%$ AND NAV $< \$10\text{bn}$ → stand down · Hard stop: Q3 base management fees decelerate on average-FPAUM basis, or Q3 rollforward shows commitments+deployment $<$ erosion

PROCESS: Q2 Ex-99.2 rollforward not opened directly (no proxy); red’s figures accepted